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HATLEY: OVERCOMING GROWTH CHALLENGES FOR GLOBAL EXPANSION

Amir Taherizadeh wrote this case solely to provide material for class discussion. The author does not intend to illustrate either effective or ineffective handling of a managerial situation. The author may have disguised certain names and other identifying information to protect confidentiality.

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In 2024, Hatley Canada, a Canadian family-owned clothing and lifestyle brand renowned for its high-quality children's apparel, faced a pivotal moment in its growth trajectory. As the company sought to craft a more robust and detailed internationalization strategy, chief executive officer Jeremy Oldland, who later transitioned to vice president of operations, grappled with a multi-faceted challenge of how to sustain growth in its core North American markets while navigating the complexities of global expansion. Stagnation in Hatley's US wholesale market, coupled with the divergence between wholesale-driven revenue streams in the United States and e-commerce dominance in Canada, highlighted the need for a new approach.

This new challenge was vastly different from Hatley's modest beginnings in North Hatley, Quebec. In 1986, Alice and John Oldland opened a modest gift shop showcasing artwork and various items like socks, tea towels, and matching family pyjamas, all inspired by the rich tapestry of Canadian wildlife. Over the years, Hatley evolved into a renowned brand, celebrated for its high-quality children's rain gear and pyjamas featuring whimsical designs. By 2007, Alice and John's three sons—Chris, Nick, and Jeremy—had taken over Hatley's leadership. And they had expanded the business internationally across 38 countries, with the United States the key market, followed by Canada and mainland European countries.

Hatley's local and international growth was fuelled by its distinctive designs, concerns for sustainability, and ethical practices. But maintaining this trajectory while addressing market-specific demands and overcoming stagnation in key sectors posed significant challenges. For the Oldland brothers, the path forward required navigating these complexities to ensure Hatley's continued success on the global stage without compromising its core values.

COMPANY OVERVIEW

Hatley: A Historical Account

It all began with Alice Oldland and a picturesque lakeside village of North Hatley. Alice was a talented artist who adorned aprons with hand-painted, whimsical animal designs. She and her husband, John, sold the products from their modest and cozy gift shop. Over a decade later, in March 1999, Alice and John retired, passing the family business to their three sons. As Nick recalled, "my parents literally gave us the

keys, and said, 'Don't call!,' and they moved to England." Chris added, "It was actually the best way to learn how to run a business, because they weren't around!"[1] Taking responsibility for their family legacy, each son drew upon their honed skillsets: Jeremy left his software developer job to assume the role of operations manager; Nick left his position as a film assistant art director to become the creative director; and Chris took on the role of president.

Fast-forward to 2024, and Hatley has solidified its presence in approximately 38 countries worldwide with more than 500 accounts. The United States has been the pivotal export destination. While Canada remained a significant home market, mainland Europe ranked as the brand's third major market. The Oldland family has retained 75 per cent ownership of the business, with the remaining 25 per cent held by Fonds de solidarité (Fonds FTQ).[2]

Hatley's Two Iconic Brands

Two distinct brands were under the Hatley umbrella: Hatley and *little* Blue House. Hatley stood as an emblem of meticulously hand-illustrated prints and superior quality apparel, catering to babies, children, and women. Renowned for its devotion to charming details, each piece was not only a wearable piece of art but also a treasured keepsake destined to be passed down through generations. Hatley's collection, which specialized in comfort, ranged from their signature ultra-soft organic cotton pyjamas, which children found irresistible, to a vibrant, heartwarming rainwear line that included colour-changing prints, to a sunproof swimwear line.

little Blue House brought a refreshing twist to the mix, embracing a playful spirit through its range of giftable items. It carved a niche for itself with its witty puns and distinctive nature-inspired prints featured across a variety of products. This included matching family pyjamas (fur babies included), women's sleep shirts, men's boxer briefs, socks, and tea towels. Their quintessential Canadian heritage was woven into a classic loungewear collection that celebrated both comfort and a sprinkle of humour. Together, Hatley and *little* Blue House wove a tapestry of imaginative design and quality, crafting a story of growth into an international brand that brought joy and comfort to families around the globe.

Hatley's Timeless Success: Embracing Tradition and Expertise

In a rapidly evolving technological landscape, Jeremy recognized that while remarkable advancements were transforming various industries, the children's clothing business remained relatively straightforward. Despite the allure of cutting-edge technologies, Jeremy offered that Hatley thrived in the market by adhering to its traditional yet effective business model.

Unlike some other kids' clothing brands (Gap Inc.'s babyGap line, The Children's Place, Inc., Carter's, Inc., Souris Mini Inc.[3]) that have struggled, bankrupted, or closed physical stores, Hatley remained profitable. The company did not shy away from using standard information systems essential for supporting its day-to-day operations. However, Jeremy, a computer science graduate, noted that Hatley intentionally opted not to heavily invest in artificial intelligence (AI) or other advanced technologies solely for the purpose of digital transformation. Instead, the company placed significant trust in the expertise, capability, and experience of its human capital, including its talented designers and about 109 sales representatives. Jeremy emphasized that "there are some phenomenal technologies out there, but this is a pretty, you know, old [traditional] business, and it's just not as high-tech as people make it out to be. It's a really standard business model. And we're kind of like the last man standing."[4]

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Hatley's success, therefore, was a testament to the value of inventiveness and human creativity in the clothing design process. While some companies opted for massive AI-driven digital transformations[5] to modernize manufacturing and sales, Hatley found a winning formula by relying on its team's ingenuity. The use of standard enterprise resources planning and integrated shipping systems streamlined operations, but the company remained grounded in the artistry of selecting colours, patterns, and themes for their products.

By embracing tradition while still incorporating essential information systems, Hatley struck a balance between preserving its heritage and adapting to the changing underlying business technologies. Technology continued to evolve, but Hatley's approach highlighted the enduring significance of human creativity and expertise in creating beloved children's clothing that stood the test of time.

MARKET SEGMENTATION

Jeremy believed that "the golden goose is the United States. As a Canadian, the biggest market in the world is 35 minutes south of my office. We are not at 100 per cent penetration in the United States. We are going to approach 100 per cent in Canada, though."[6] About 55 per cent of Hatley's total revenues were made in the US market, mostly New York, Chicago, Miami, and Los Angeles. The remainder was divided between Canada, accounting for 35 per cent, and Europe, contributing 10 per cent. The United States stood as Hatley's predominant wholesale market, commanding around 70 per cent of transactions, while e-commerce comprised 30 per cent. In contrast, Canada played a substantial role, contributing 70 per cent to e-commerce but only 30 per cent to wholesale activities in North America. Therefore, the distribution of revenues and gross profits varied across three sales channels: e-commerce, retail, and wholesale (see Exhibit 1).

The European Market

Hatley also maintained a significant presence in Europe, accounting for approximately 10 per cent of its overall business, with an extensive network of over 700 wholesale clients strategically dispersed across the region. Notably, the United Kingdom, historically a stronghold, served as a pivotal market pre-Brexit, functioning as a primary hub for warehousing products shipped throughout mainland Europe. However, Brexit ushered in unfavourable changes that adversely impacted businesses, including Hatley.[7] One important reason was that the UK's value chains were far more integrated in the EU economy than vice versa.[8] Furthermore, Brexit shrunk the UK economy.[9] As a case in point, London's economy contracted by over £30 billion, with 290,000 fewer jobs than if Brexit had not occurred, according to an independent report by Cambridge Econometrics.[10] As a result, Brexit became a key driver of the cost-of-living crisis, largely due to the post-Brexit devaluation of the pound, which made foreign goods, services, and assets more expensive for UK residents. This, in turn, contributed to higher inflation and an increased cost of living.[11] Hatley's management identified this as a pivotal factor that directly influenced the purchasing decisions for premium items like organic pyjamas and a CA$100[12] children's raincoat—an insight characterized by its simplicity and direct correlation.

Due to Brexit, Hatley experienced a significant contraction of approximately 50 per cent in its UK business. Simultaneously, the European segment encountered a considerable downturn, influenced by economic challenges within the European Union. These challenges stemmed from a combination of factors, including Brexit's impact, leading to a significant cutback of around 30 per cent. Compounding the challenges, Hatley had strategically relied on the United Kingdom as its primary warehouse site. In the wake of Brexit, this necessitated a shift in logistics, compelling Hatley to redirect its shipping operations from the United Kingdom to mainland Europe, routing goods from Canada.

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Refocusing on the United States and Canada: Adapting to Post-Brexit Realities

For over a decade, Hatley quietly carved a niche for itself in the Canadian and US markets, garnering a reputation as a high-end, top-quality children's clothing brand. Hatley proudly embraced its "geographically agnostic" identity, a testament to its unique position as a brand born close to the Canadian-US border.[13]

Initially, the brand's success in the US market was critical to their decision to remain neutral in promoting themselves as either a Quebec or a Canadian brand. However, the brand started to increasingly embrace its Canadian heritage, becoming more prevalent and recognizable as a quintessentially Canadian brand.[14]

The US market, once Hatley's primary focus, became more competitive, prompting Hatley to explore new opportunities for growth. Yet the Canadian market expanded significantly, offering an exciting chance to strengthen the brand's presence closer to home. Still, Hatley remained committed to providing high-quality, environmentally friendly products, staying true to its roots and ethos. With a renewed focus on its Canadian identity and a history of crossing borders, Hatley was poised to continue its success story while leaving an impression on both sides of the border.

HATLEY'S ADAPTATION AND GROWTH CHALLENGES

In the face of shifting trends in the retail industry, Jeremy acknowledged the challenges posed by the eroding business models of big department stores like Hudson's Bay Company (HBC) and Nordstrom Inc. As these major players sought to optimize costs and boost margins, they resorted to drop-shipping[15] programs or in-house brands, significantly impacting the wholesale market. Jeremy pointed out that the decline of new children's boutiques on prominent streets was particularly affecting Hatley's wholesale business because "People weren't rushing to open new children's boutiques on high streets like Greene Avenue and West Mill." [16]

Hatley relied on three main revenue streams—wholesale, retail, and e-commerce. However, as the wholesale sector faced uncertainty and remained static, the company had to consider alternative strategies to sustain growth. Drop shipping and consignment business models could not be viable options for small companies like Hatley, as they often resulted in smaller orders, higher cost, and lower profitability.

To counter these challenges, Hatley decided to strengthen its retail and e-commerce channels. However, this shift was not without its difficulties. Competing in the retail space and establishing a robust online presence demanded careful planning, investment, and strategic execution. Hatley launched its first website in 2007 and experienced consistent growth, except for the year 2022. The initial aim was to gain control over the online image of their brand. The necessity for action became apparent when searches for "Hatley" primarily yielded product listings on eBay. During COVID-19's peak, the website played a crucial role in keeping the business operational. But a shift back to brick-and-mortar shopping was noticeable in the post-COVIID-19 era, leading to the first decline in e-commerce sales. Additionally, they opened more than 30 stores, and together with the website, these contributed to nearly 50 per cent of their revenue. By being their own largest customer, they experimented with new products and undertook risks that might not be feasible otherwise. Not to mention that the company did not have much e-commerce success in the US market despite spending "a disproportionate amount of money on the US online advertising, to buy American eyeballs," said Jeremy.[17]

For Jeremy, finding a comprehensive solution to navigate these complex changes was proving to be a formidable task. Hatley did not have a ready-made "magic business plan" but was actively exploring options to adapt and thrive in the transforming retail landscape.

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Hatley's Expansion Strategy: Luxury Ski Resorts

In the past, Hatley's growth strategies were driven by a combination of passion and a keen understanding of their target market. For example, Jeremy's love for skiing and frequent visits to ski resorts inspired the idea of opening retail stores in these locations. The success of the first store in Mont-Tremblant[18] validated this approach, prompting another successful store in Whistler[19] and, later, in all Canadian luxury ski resorts.

This decision, although fuelled by passion, was not arbitrary. Ski resorts proved to be an excellent match for Hatley's target customer base because visitors to luxury ski resorts were not just affluent but also part of the top 1 per cent economic bracket. This alignment made ski resorts a perfect fit for Hatley's high-end products, so the retail division flourished. However, Jeremy recognized limitations to this approach. With Hatley already established in many ski resorts, the opportunity for opening new retail stores in those locations was limited.

Shopping Malls: A Pragmatic and Profitable Choice

As Hatley looked to continue its market share expansion, Jeremy acknowledged that shopping malls offered a pragmatic option. Shopping malls were not as profitable as ski resorts, but they still presented a viable sales opportunity.

As the COVID-19 pandemic eased, shopping malls showed signs of resilience, making them a stable choice for expanding Hatley's retail footprint. The malls lacked the ski resorts' level of luxury and exclusivity, but they attracted a diverse range of customers and offered broader market reach.

By striking a balance between ski resort stores, catering to an elite clientele, and shopping mall outlets, offering a more accessible shopping experience, Hatley continued to diversify its retail presence while maintaining profitability.

INDUSTRY OUTLOOK

Industry Boundary

The Children's and Infants' Clothing Stores industry traditionally included specialized retailers, providing a wide array of ready-to-wear clothing for infants and children. The Children's Apparel market covered apparel for children up to age 14,[20] who account for approximately 25 per cent of the world's population.[21] This industry included businesses retailing boys' clothing, girls' clothing, and infant and toddler clothing.[22] However, the children's clothing industry was increasingly embracing genderless or "gender-fluid"[23] fashion, driven by evolving cultural attitudes toward gender identity and expression as well as the changing demographics of their target customer.[24] As some brands moved away from traditional gendered categories, they offered more inclusive and versatile clothing options that appealed to a broader range of consumers.

Overall, the fashion industry saw a growing shift toward personalization and inclusivity, with increasing emphasis on gender-neutral clothing.[25] Notably, finding children's clothing that broke away from traditional gender norms had become somewhat easier.[26] For example, if you had searched for the term "gender neutral clothing for kids" on Google and filtered by the Shopping tab, you would have found that major retailers such as Gap, H&M, Old Navy, and Carter's, among others, offered a variety of gender-inclusive clothing options. This was reflective of a broader shift in the Children's Apparel industry, which had traditionally catered to boys, girls, and infants but was increasingly embracing gender-fluid fashion.

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Market Dynamics and Performance

In 2023, the Children's Apparel market generated revenues of approximately $272.30 billion, with an anticipated annual growth rate of 2.57 per cent from 2023 to 2028.[27] The United States contributed the largest global share, with around $53 billion to this market,[28] or per capita revenues of about $35.44 in 2023.[29] By 2028, the market volume would be expected to reach 66.9 billion pieces, reflecting a growth rate of 1.1 per cent in 2024.[30]

The Canadian Children's and Infants' Clothing Stores industry was affected by increased competition from department stores, mass merchants, and online-only retailers, which became the preferred choices for budget-conscious consumers.[31] This heightened competition led to a decline in market share for traditional children's and infants' clothing stores, which had typically relied on unique product offerings and superior customer service to differentiate themselves. Economic challenges, including inflation, strained consumer budgets, resulting in reduced spending on non-essential items such as children's fashion. From 2019 to 2023, revenue dropped at a compound annual growth rate (CAGR) of 1.6 per cent, reaching an estimated $2.0 billion in 2024. However, the industry was projected to see a 6.1 per cent rebound in revenue growth in 2025.[32]

Global and Regional Trends

In 2022, the Asian Children's Apparel market emerged as the largest global market, generating revenues of $98.4 billion. Following closely, the Americas held the second-largest market share with revenues of $69.9 billion. Among selected countries—including China, France, Germany, and the United Kingdom—the United States emerged as the largest individual market, achieving $49.6 billion in revenue. Looking ahead, the US market was projected to grow to $57.7 billion by 2028.[33]

A Pew Research Center report examined the American middle class's changing dynamics, highlighting a decline in its size and economic stability over recent decades. The analysis revealed that contributing factors to this trend included rising costs of living, income inequality, and shifts in employment. [34] In general, the middle class, which used to represent the economic majority of American adults, has gradually diminished over the past 50 years. The government data showed that the proportion of adults living in middle-class households decreased to 51 per cent in 2023 from 61 per cent in 1971.[35]

While these data indicated a decline in middle-class households, the United States remained one of the largest markets for children's apparel. Overall, the average revenue per capita for children's apparel was projected to grow at a CAGR of 1.2 per cent from 2018 to 2028, reflecting a trend of increased spending on children's clothing. In 2022, the United Kingdom had an average revenue per capita of $164.80, positioning it as one of the largest markets, while the United States closely followed with an average of $146.60.[36] The share of online sales in the North American market experienced substantial growth in recent years and was projected to continue growing (see Exhibit 2).

Emerging Product Opportunities

Product-based opportunities included strategies such as gender-neutral clothing and using sustainably sourced materials to boost product sales. As consumer and societal trends evolved, it became imperative for brands to stay attuned to these shifting dynamics, remain relevant, and please their target audience.

Regarding sustainability, the share of sustainably produced children's apparel grew by 53 per cent from 2018 to 2023, increasing from 3.4 per cent to 5.2 per cent of total sales.[37] Projections indicate that this share was poised to expand further to reach 6.7 per cent by 2026.[38] This uptick reflected a growing awareness

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among parents of global warming and recognizing the health benefits associated with sustainable materials for their children's clothing.

Competition

In the ever-evolving retail landscape, the most formidable competitors could thrive in physical (brick-and-mortar, wholesale, or direct-to-consumer) and digital (e-commerce) channels. While the digital front had been expanding, the enduring value of brick-and-mortar stores persisted, as evidenced by Hatley's growing retail sales (see Exhibit 1). These physical spaces offered consumers the opportunity to experience products first-hand, foster tangible brand awareness, and streamline the return process, among other advantages. Nevertheless, the surging demand for online shopping necessitated an internal examination of the value chain, enabling competitors to identify their digital strengths and address their weaknesses. This comprehensive value chain assessment encompassed critical elements, such as supply chain management, operations, including manufacturing and research and development, distribution, marketing, sales, and customer service, all of which played pivotal roles in delivering a seamless end-to-end consumer experience.

Globally, the market share among competitors was highly fragmented, with no single company holding more than a 2 per cent share. In 2022, major players in this diverse market included Carter's (2%), Shein Group Ltd. (2%), Uniqlo Co., Ltd. (2%), and Zara (2%).[39] In the US, leading brands by market share were Carter's (5%), Old Navy, LLC. (4%), Name It (3%), Shein (2%), Abercrombie & Fitch Co. (1%), Puma SE (1%), and Ralph Lauren Corporation (1%), while the remaining 80% was distributed among various other brands (see Exhibit 3).[40] In Canada, the Children's Apparel market was led by Gymboree brand (owned by The Children's Place; 6%), The Children's Place (4%), Old Navy (4%), and Shein (3%). H&M Group, Uniqlo, and Zara each held 2 per cent, while Tommy Hilfiger B.V. and Under Armour, Inc. each accounted for 1 per cent. The remaining 74 per cent was distributed among other brands (see Exhibit 4).[41]

These statistics highlighted the pervasive dispersal of competitors within the Children's Apparel industry in North America, signalling the substantial opportunity for market share acquisition by effectively implementing a well-crafted international expansion strategy.

In Hatley's competitive landscape, they contended with both direct and indirect competitors. Given Hatley's status as a niche brand tailored to a specific consumer base, the management team wondered if they should avoid direct competition with larger, more generalized brands, such as Carter's, Shein, Uniqlo, and Zara. In their unique scenario, they wondered if Hatley's strategic focus had to shift toward more direct competition with specialized, high-end brands that share their market space, values, and missions.

SUSTAINABILITY IN INTERNATIONAL EXPANSION: HATLEY'S PATH FORWARD

In 1987, the United Nations Brundtland Commission defined sustainability as "meeting the needs of the present without compromising the ability of future generations to meet their own needs."[42] According to McKinsey & Company, fashion was "one of the world's most important industries, driving a significant part of the global economy."[43] McKinsey estimated the global fashion industry's value at USD 2.4 trillion in 2016. If considered as a national economy, this would have positioned fashion as the seventh-largest economy in the world by GDP.[44] As such, the fashion industry held significant influence over global sustainability outcomes, with its practices capable of driving both positive and negative environmental and social impacts.

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In the fashion industry, sustainability was once considered a "self-regulating" issue. That perception has been changing. According to McKinsey & Company, new regulations across jurisdictions were set to significantly impact both consumers and fashion businesses. Brands and manufacturers had to overhaul their business models to adapt to these impending changes.[45] McKinsey & Company also emphasized that regulatory competence could not be limited to a brand's sustainability team alone. Instead, it had to be embraced by the C-suite and integrated across all organizational functions. This comprehensive approach ensured that sustainability goals were not only set but also effectively implemented across the entire business, fostering long-term resilience and compliance with evolving regulatory landscapes.

In Canada, environmental and climate concerns were widespread, with eight in ten Canadians prioritizing a sustainable lifestyle. Sixty-five per cent felt a moral obligation to use environmentally friendly products, and six in ten identified climate change as their top concern.[46] Despite these values, practical considerations often came into play. Inflationary pressures or economic uncertainties could compel Canadians to tighten their budgets. And on occasions like new year shopping, retail analyst Bruce Winder suggested that shoppers might opt for cost-friendly deals over sustainable choices.[47]

Further, the ambiguity surrounding the term sustainability, which could encompass a wide range of meanings, was coupled with the fashion industry's intricate supply chain and the rapid pace of consumer purchasing habits, both in-store and online. These factors complicated the verification of sustainability claims, while the sheer increase in consumerism over the past 20 years exacerbated these challenges, making genuine sustainability practices increasingly difficult to achieve.[48]

In addition, greenwashing remained a significant concern within the fashion and fast fashion industry. "It's the Wild West, really, in terms of what claims are being made and what companies are getting away with," Kelly Drennan, founding director of Canadian non-profit Take Action, told with Global News show, *The New Reality*.[49]

For these reasons, companies emphasized notions such as "fewer quality items"[50] and a broader sense of sustainability aspects. Rachel Arthur, advocacy lead for sustainable fashion at the UN Environment Program, underscored the influential role of businesses in advocating for "wider change that facilitates sustainability in a wider sense."[51]

Hatley was among the pioneers to produce organic garments targeted mostly at European customers. European customers often showed a willingness to pay a premium for Hatley's organic products, in contrast to the cost effectiveness prioritized by the US market. This was particularly the case among families with multiple offspring, where even marginal price differences held significant weight. But the Oldland family, maintained their commitment to a broader view of sustainability that extended beyond organic materials.

The Oldland brothers emphasized durability and enduring quality as crucial factors, envisioning garments that withstood the test of time, passing through multiple hands or even generations. As explained by Oldland:

> That thing [the raincoat] is indestructible. It is machine washable; you can put it in the dryer, and what I do to explain the concept, it's very simple. I put a name tag on it, but I put three lines on it one, two, three; and that tells the consumer, it is designed to be passed from one kid to the next. You wouldn't believe the raincoats. I bought some for my own house, from 10 years ago, they are on my daughter now! Like it's hilarious how long it lasts. Now that's sustainability![52]

Adopting a design-thinking approach, Hatley showed its dedication to quality and sustainability by incorporating name labels with three lines on their clothing such as raincoats. This thoughtful design feature not only facilitated the hand-me-down practice but also instilled a sense of ownership for the next child.

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This practice also aligned with Hatley's mission of offering durable quality products and reinforcing their sustainability ethos to ensure clothing longevity while minimizing waste.

This approach effectively addressed sustainability concerns in the US market and alleviated price pressure, but the inherent high quality of Hatley's products imposed certain cost restrictions. In navigating this challenge, Hatley remained committed to their dedication to both quality and sustainability, acknowledging the delicate balance between cost and environmental responsibility.

OUTLOOK

Hatley's pursuit of further international expansion unfolded against a backdrop of diverse challenges. While the groundwork for local expansion was laid to boost profitability, the journey toward accelerated growth entailed formulating a more robust and detailed internationalization strategy. In essence, Hatley sought to more aggressively strengthen its presence in the US market across e-commerce, retail, and wholesale channels all while maintaining its firm commitment to sustainability.

The company also contemplated broadening its global footprint by identifying strategic locations with high growth potential and determining the most fitting international strategies. Yet, sustainability concerns, despite their inherent advantages, increased costs. The intricate task of managing a consistent and sustainable supply chain across diverse regions introduced layers of complexity. Negotiating the logistical intricacies of shipping products globally, minimizing carbon footprints, navigating diverse environmental and labour regulations, and ensuring unwavering product quality across all markets further complicated Hatley's trajectory.

Cultural and purchase power disparities presented an additional challenge, as sustainability may not be universally valued or afforded. This necessitated a nuanced approach to brand messaging, tailored to resonate with diverse cultures without diluting Hatley's core values. The delicate balance between deeper international expansion ambitions and the steadfast commitment to sustainability required an adaptive strategy to successfully navigate these multi-faceted challenges.

This case study delved into the prospects and obstacles encountered by a boutique Canadian brand in the high-end children's clothing industry, a niche experiencing its fair share of fluctuations, particularly post-COVID-19, despite a generally expanding market. Hatley's stewards, the three Oldland brothers, bore a weighty responsibility in upholding the authenticity of their family legacy brand while driving its expansion both domestically and internationally.

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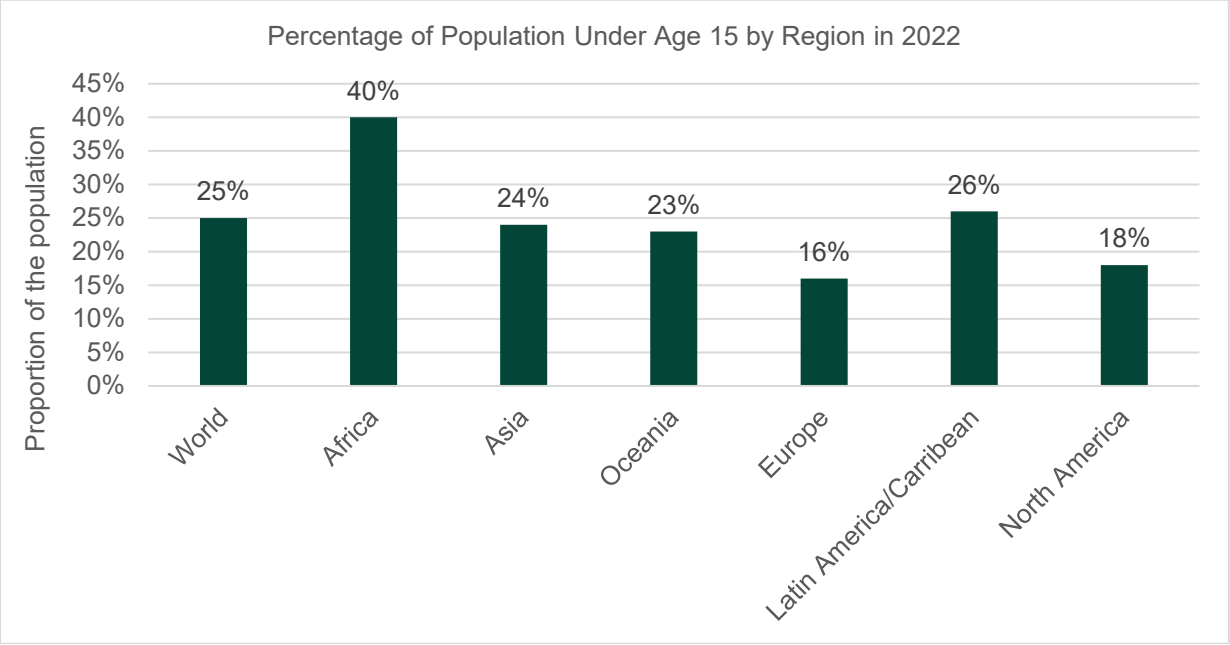
EXHIBIT 1: DISTRIBUTION OF HATLEY'S REVENUES AND GROSS PROFITS ACROSS E-COMMERCE, RETAIL, AND WHOLESALE REVENUE STREAMS (2022–2024)

E-commerce			
	2024	**2023**	**2022**
Revenues	$9,635,158	$9,859,610	$10,906,419
Gross profit	$6,600,083	$6,093,691	$7,081,427
Retail			
	2024	**2023**	**2022**
Revenues	$18,550,777	$17,655,699	$14,391,789
Gross profit	$12,874,239	$11,036,742	$9,356,582
Wholesale			
	2024	**2023**	**2022**
Revenues	$21,943,327	$29,523,281	$34,691,307
Gross profit	$13,319,599	$13,570,511	$16,053,520

Source: Hatley's consolidated financial statements for 2022, 2023, and 2024.

EXHIBIT 2: INDUSTRY STATISTICS

Figure 1. Percentage of Population Under Age 15 by Region in 2022

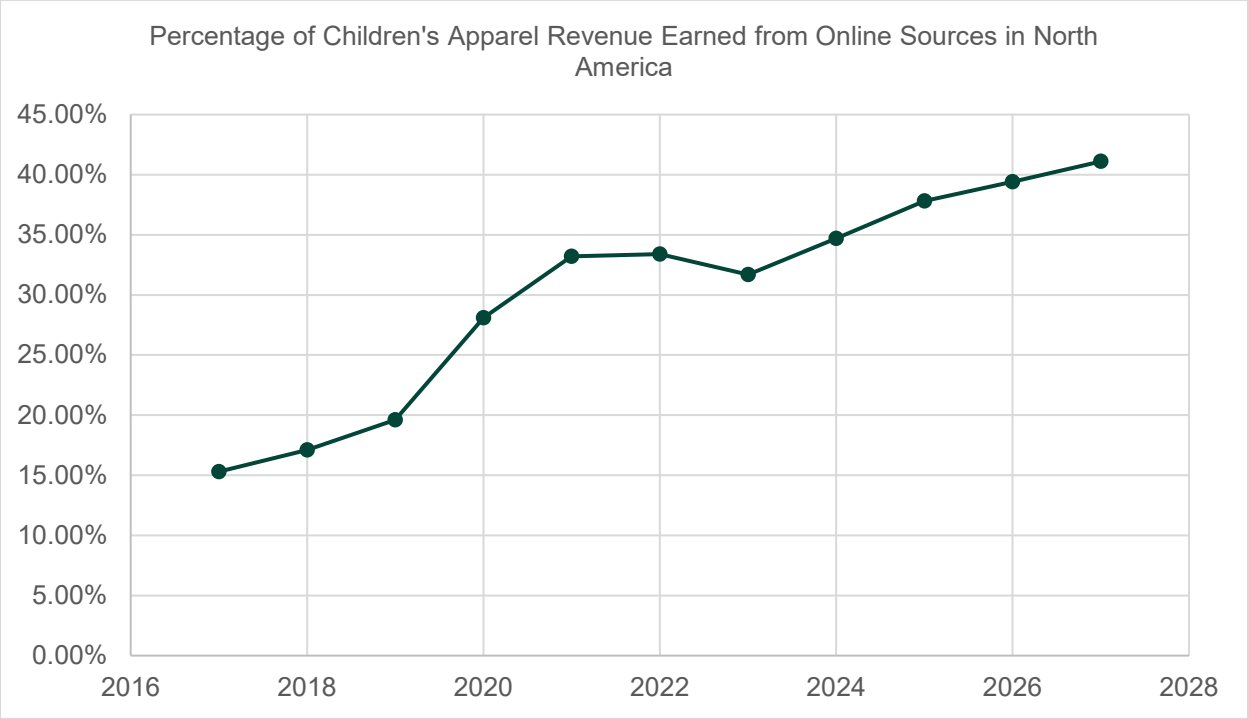


Source: This chart is based on data from the "World Population Data Sheet 2023," Population Reference Bureau (PRB), accessed [March 6, 2025], https://2023-wpds.prb.org/wp-content/uploads/2023/12/2023-World-Population-Data-Sheet-Booklet.pdf, 2.

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EXHIBIT 2: (CONTINUED)

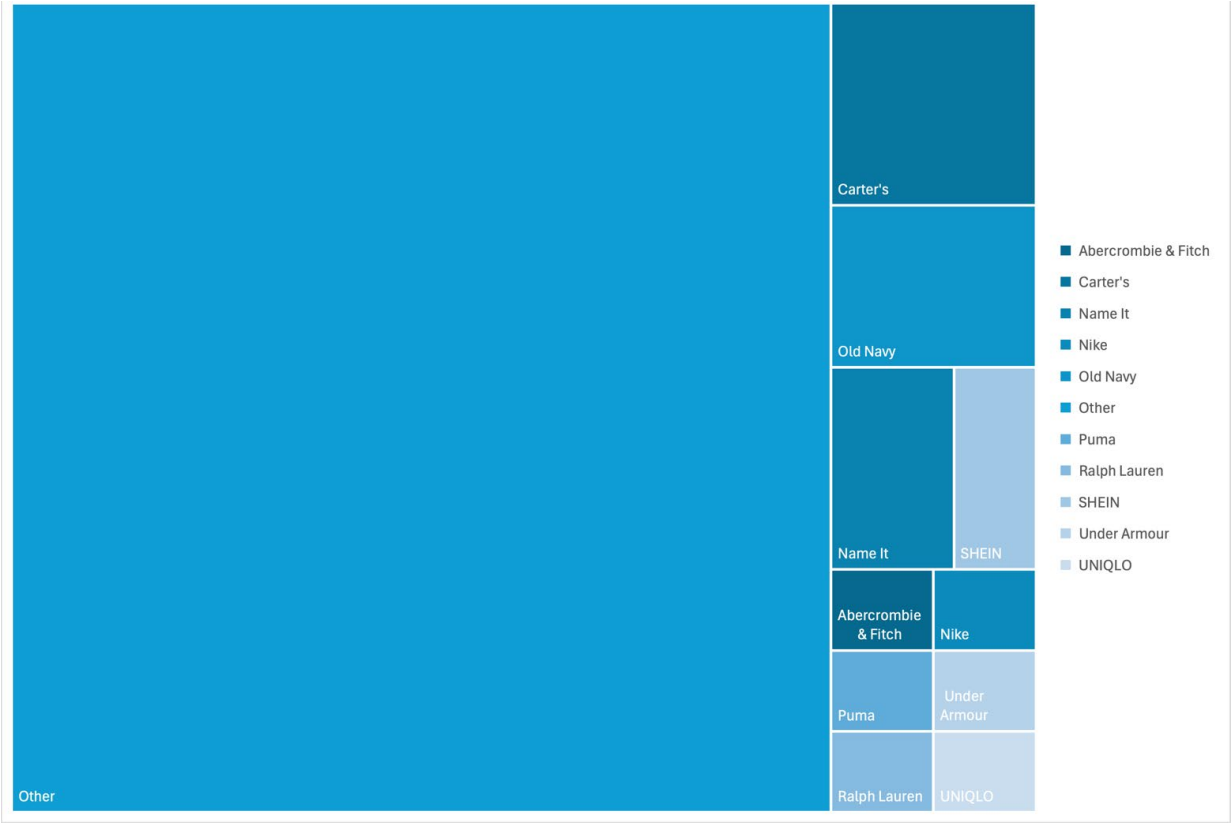
Figure 2: Percentage of Children's Apparel Revenue Earned from Online Sources in North America



Source: This chart was created based on data extracted from *Children's Apparel – North America*," Statista, accessed November 12, 2023, https://www-statista.com.proxy3.library.mcgill.ca/outlook/cmo/apparel/children-s-apparel/north-america.

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EXHIBIT 3: KEY PLAYERS IN CHILDREN'S APPAREL INDUSTRY IN THE UNITED STATES

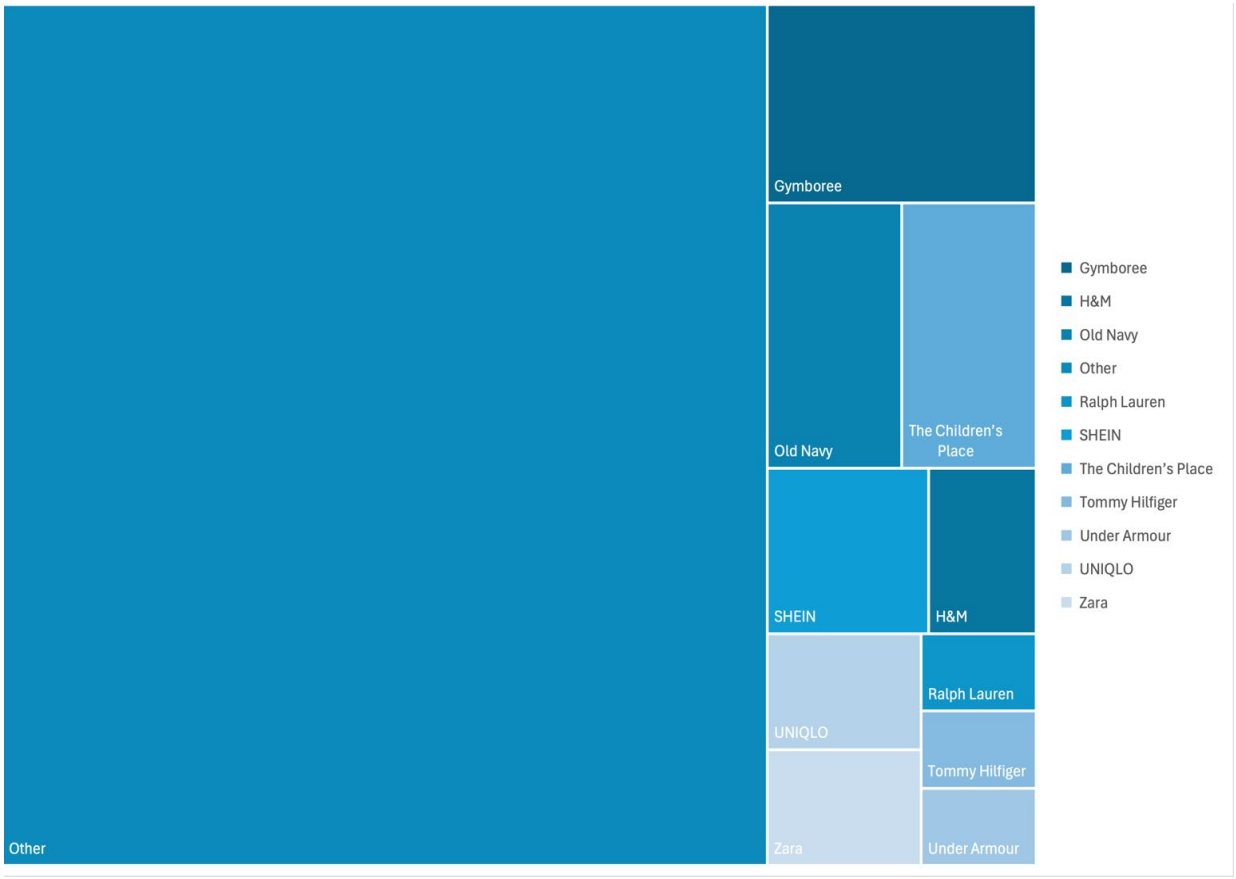


Source: Case author's Treemap based on data from *Children's Apparel – United States,* Statista Market Insights, last updated May 2024, accessed November 07, 2024,https://www-statista-com.libaccess.lib.mcmaster.ca/outlook/cmo/apparel/children-s-apparel/united-states.

Key players (brands)	Brand share (BETA) (in per cent)
Abercrombie & Fitch Co.	0.01
Carter's, Inc.	0.05
Name It	0.03
Nike, Inc.	0.01
Old Navy, LLC	0.04
Other	0.80
Puma SE	0.01
Ralph Lauren Corporation	0.01
Shein Group Limited	0.02
Under Armour, Inc.	0.01
Uniqlo Co., Ltd.	0.01

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EXHIBIT 4: KEY PLAYERS IN CHILDREN'S APPAREL INDUSTRY IN CANADA



Source: Case author's Treemap based on data from *Children's Apparel – Canada*, Statista Market Insights, last updated in May 2024, accessed November 7, 2024, https://www-statista-com.libaccess.lib.mcmaster.ca/outlook/cmo/apparel/children-s-apparel/canada.

Key players (brands)	Brand share (BETA) (in per cent)
Gymboree	0.06
H&M Group	0.02
Old Navy, LLC	0.04
Other	0.74
Ralph Lauren Corporation	0.01
Shein Group Ltd.	0.03
The Children's Place, Inc.	0.04
Tommy Hilfiger B.V.	0.01
Under Armour, Inc.	0.01
Uniqlo Co., Ltd.	0.02
Zara	0.02

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ENDNOTES

[1] For a more complete historical account, see Nic, "Hatley – Our Story," January 20, 2020, YouTube video, 5:15, https://youtu.be/0LJdFs84oqQ?si=z5tcRUOeprzP3Zow.
[2] Fonds FTQ was the largest development capital investment network in Quebec. By using workers' savings to support businesses in all regions and activity sectors and encouraging retirement savings, Fonds FTQ became a key stakeholder in Quebec society (see, "Who We Are," Fonds de solidarité, accessed April 5, 2024, https://www.fondsftq.com/en/about-us/who-we-are).
[3] In 2002, Souris Mini opened its first store in Quebec City, the company's home base. Souris Mini collections were first introduced in daycare centres before being sold in different children's clothing stores in Quebec City. See "Home Page," Souris Mini, accessed March 4, 2024, https://www.sourismini.com/en.
[4] Jeremy Oldland (co-owner of Hatley), in discussion with the case author July 26, 2023.
[5] For a discussion on AI-driven digital transformation, see Amir Taherizadeh and Catherine Beaudry, "An Emergent Grounded Theory of AI-Driven Digital Transformation: Canadian SMEs' Perspectives," *Industry and Innovation* 30, no. 9 (2023): 1244–73, https://doi.org/10.1080/13662716.2023.2242285.
[6] Jeremy Oldland (co-owner of Hatley), in discussion with the case author, December 1, 2023.
[7] Jeremy Oldland (co-owner of Hatley), in discussion with the case author, July 26, 2023.
[8] Mark Thissen et al., "The Implications of Brexit for UK and EU Regional Competitiveness," *Economic Geography* 96, no. 5 (2020): 397–421, https://doi.org/10.1080/00130095.2020.1820862.
[9] David Dharshini, "What Impact Has Brexit Had on the UK Economy?" *BBC News*, January 31, 2023, https://www.bbc.com/news/business-64450882.
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[11] "New Report Reveals UK Economy Is Almost £140billion Smaller Because of Brexit"; Christopher Coyle, "How Has Brexit Affected the Value of Sterling?" Economics Observatory, accessed on March 5, 2025, https://www.economicsobservatory.com/how-has-brexit-affected-the-value-of-sterling.
[12] All dollar amounts are in Canadian dollars unless otherwise specified.
[13] Oldland, discussion, December 1, 2023.
[14] Oldland, discussion, December 1, 2023.
[15] In drop shipping, as an order fulfillment strategy, online retailers avoid keeping stock; rather, they forward the orders to drop shippers. Drop shippers then prepare and ship the orders directly to the customer. Through this, online retailers can reap cost savings in holding inventory and lower investment, as no warehouses are needed, while drop shippers can gain benefits of direct access to real-time demand information. For more information, see Taesu Cheong, Mark Goh, and Sang Hwa Song, "Effect of Inventory Information Discrepancy in a Drop-Shipping Supply Chain," *Decision Sciences* 46, no. 1 (2015): 193–213, https://doi.org/10.1111/deci.12122.
[16] Oldland, discussion, July 26, 2023. Greene Avenue is a north-south street in Montreal, locally known for its upscale shops, restaurants, and antique dealers.
[17] Oldland, discussion, December 1, 2023.
[18] Mont-Tremblant is a municipality in the Canadian province of Quebec, set within the Laurentian Mountains, northwest of Montreal.
[19] Whistler is a town north of Vancouver, British Columbia, which is home to Whistler Blackcomb, one of the largest ski resorts in North America.
[20] Statista Market Insights, *Children's Apparel: Market Data & Analysis - Market Insights Report* (October 2023).
[21] See Figure 1 in Exhibit 2. This chart was created based on the data from "2023 World Population Data Sheet," Population Reference Bureau (PRB), accessed March 6, 2025, https://2023-wpds.prb.org/wp-content/uploads/2023/12/2023-World-Population-Data-Sheet-Booklet.pdf, 2.
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[23] *The State of Fashion 2023*, McKinsey & Company, accessed March 6, 2025, https://www.mckinsey.com/~/media/mckinsey/industries/retail/our%20insights/state%20of%20fashion/2023/the-state-of-fashion-2023-holding-onto-growth-as-global-clouds-gathers-vf.pdf.
[24] *State of Fashion.*
[25] Obi Anyanwu, "Decoding Genderless Fashion, the Future of the Industry*," Women's Wear Daily*, January 8, 2020, https://wwd.com/feature/genderless-fashion-future-of-industry-1203381685/.
[26] Truc Nguyen, "Where to Find the Cutest, Gender-Neutral Kids' Clothes," *CBC*, February 27, 2020, https://www.cbc.ca/life/style/where-to-find-the-cutest-gender-neutral-kids-clothes-1.5478858.
[27] Statista Market Insights, *Children's Apparel*.
[28] Statista Market Insights, *Children's Apparel*.
[29] Statista Market Insights, *Children's Apparel* .
[30] Statista Market Insights, *Children's Apparel*.
[31] Perdomo, *Children's and Infants' Clothing.*

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[33] Statista Market Insights, *Children's Apparel*.
[34] Rakesh Kochhar, "The State of the American Middle Class," Pew Research Center , May 31, 2024, https://www.pewresearch.org/race-and-ethnicity/2024/05/31/the-state-of-the-american-middle-class/.
[35] Kochhar, "American Middle Class."
[36] Statista Market Insights, *Children's Apparel*.
[37] *Children's Apparel*.
[38] *Children's Apparel*.
[39] *Children's Apparel*.
[40] *Children's Apparel – United States*, Statista Market Insights, last updated May 2024, accessed November 7, 2024, https://www-statista-com.libaccess.lib.mcmaster.ca/outlook/cmo/apparel/children-s-apparel/united-states.
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[44] McKinsey & Company, *The State of Fashion 2017 Report*, 6.
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[49] Robinson, "Fashion's Greenwashing."
[50] Robinson, "Fashion's Greenwashing."
[51] "Sustainability."
[52] Oldland, discussion, December 1, 2023.

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